

An ETF is arguably the best investment vehicle to house bitcoin. It has a transparent and low fee schedule and has an internal structure that keeps the ETF close to the net asset value, while providing an investor with an easy way to trade it during the market day. Furthermore, the twins saw the SEC approval as the holy grail for winning investor confidence, and thereby taking bitcoin to the mainstream. While an admirable idea, they would soon find this path was longer than they likely expected.

By the start of 2017, the Winkelvoss twins were still waiting to get an ETF approved. In the interim, they had made amendment after amendment to their S-1, consulted with too many lawyers to count, and even started their own cryptoasset exchange, known as Gemini.

GEMINI EXCHANGE

Creating an ETF was not the only bitcoin product the Winklevoss brothers were working on. In 2015, they launched their own cryptoasset exchange called Gemini. The twins followed the proper regulatory path and worked to secure licensing from the New York Department of Financial Services. Although a lengthy process, as of March 2017 their exchange was one of two companies in the space that was a *limited liability trust company*, making it regulated similarly to a bank. The twins were inspired to create this exchange in response to concerns from the SEC over the lack of regulated exchanges.